

Diesel's Rare Summer Surge Is Driving US Inflation Higher



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Rising Energy Prices May Mean More Rate Hikes: Bianco

By [Julia Fanzeres](#)

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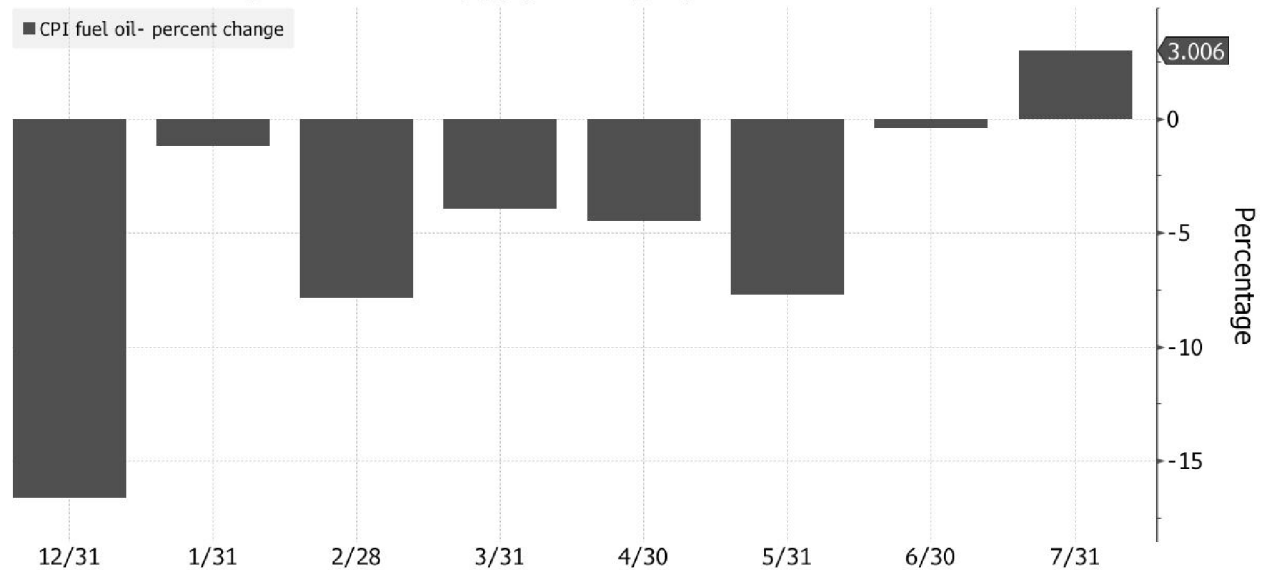
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Diesel's unusual summertime rally is starting to show up in US inflation numbers.

Fuel oil prices rose in July for the first time in eight months, adding to overall energy inflation and outstripping the rise in gasoline, according to data from the Bureau of Labor Statistics. Consumers had to pay more for diesel last month after excessive heat partly led to a slew of refinery outages across key regions where stockpiles were already low.

Diesel Prices Rose in July

The unusual surge is due to supply shorages, excessive heat



Source: Bureau of Labor Statistics

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Fuel oil demand is set to rise in the coming months, when higher costs will impact farmers using diesel fuel to power machinery for crop harvest. Fall is also when homeowners, mostly in the US northeast, start to fill up heating oil tanks for winter.

Retail diesel has risen for 17 straight days in the US, according to data from the American Automobile Association. Prices, while historically high, are still 17% below this time a year ago.



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